

SECTION A – CASE QUESTIONS (Total 50 marks)

Answer ALL of the following questions. Marks will be awarded for logical argumentation and appropriate presentation of the answers.

CASE

Delicacies Limited (“Delicacies”) is a well-known food and beverage company listed in Hong Kong. It owns over 200 Chinese, Asian and Western restaurants and bakery shops, the premises of which are all leased from third parties. It also produces a wide range of festive products, such as rice cakes, mooncakes and rice dumplings in its own food factory premises in Hong Kong and Shenzhen.

Delicacies has a board of directors with years of experience in the food and beverage industry and a dedicated management team. Both the board of directors and the management team set the tone at the top which places a high value on ethics and is not aggressive on accounting. Delicacies has structured processes and controls in place in its daily operation from good quality control, sales, procurement, cash management, staff management, to financial reporting. The roles and responsibilities of each staff member, from senior management to shop staff, are well-defined. The remuneration of the board of directors is measured on both financial and non-financial performance indicators. The remuneration and performance evaluation of the senior management and shop staff are set with reference to their roles and responsibilities. Detailed procedures manuals are available to assist staff to carry out their daily work in standard processes and controls. Delicacies also has an experienced internal audit team which reports directly to the Audit Committee of Delicacies. The internal audit team has extensive knowledge of food and beverage operations and provides constructive recommendations to management on improving the processes and controls for daily operations. There were no control deficiencies reported by the external auditor to the Audit Committee in the past years.

Delicacies is profitable with a strong and healthy cash flow. All sales transactions in the restaurants and shops are settled by cash, credit cards or pre-paid vouchers. The point-of-sales (“POS”) system, which is self-developed and highly customised by Delicacies, has been used for many years and is directly interfaced with the general ledger. All the restaurants and bakery shops of Delicacies use the POS system. There were no POS system issues reported by the external auditor to the Audit Committee in the past years. The internal audit team also did not report any process and control improvement recommendations to the Audit Committee in the past years.

Delicacies first launched certain festive products in 2017, which were very well-received by the market. So as to better manage the production schedule of the festive products, the management of Delicacies arranged to pre-sale the festive products by way of vouchers. Customers were required to pre-pay for the vouchers to redeem festive products. These festive product vouchers were available for sale online and at five designated restaurants and bakery shops. Customers redeemed the festive products at the five restaurants and bakery shops by either presenting a paper voucher or e-voucher with a QR code. Delicacies sold over 3,000,000 vouchers last year. These festive product vouchers were tracked under a separate voucher management system which currently had no direct interface with the POS system. All redeemed vouchers were sent back to the headquarters on a regular basis. The vouchers issued, sold and redeemed were centrally reconciled at the headquarters. The internal audit team in their report to the Audit Committee suggested certain control improvements for voucher management. The internal audit findings indicated that the voucher records were not reconciled to the festive products sales records and cash receipt records relating to voucher sales on timely basis.

ABC & Co has been the auditor of Delicacies for the past 15 years. From a better corporate governance perspective, the Audit Committee has decided to rotate the auditor in the year. The Chief Financial Officer of Delicacies has therefore approached DEF & Co for an audit service proposal and would like to nominate DEF & Co as their new auditor.

Below are extracts of financial information of Delicacies for the year ended 31 December 2017 and the six months ended 30 June 2018.

	30 June 2018 Unaudited HK\$'000	31 December 2017 Audited HK\$'000
<u>Statement of profit or loss and other comprehensive income</u>		
Revenue		
- Food and beverage sales		
(i) Restaurants	800,000	1,500,000
(ii) Bakery shops	80,000	160,000
- Festive product sales	25,000	42,000
Cost of sales		
- Food and beverage costs	100,500	180,400
- Festive product costs	10,000	16,800
- Rental expenses	271,800	510,600
- Staff costs	167,800	331,600
- Depreciation	40,000	80,000
<u>Statement of financial position</u>		
Property, plant and equipment	220,000	240,000
Inventories	21,000	20,000
Accounts receivables	62,000	60,000
Prepayments and other receivables	30,000	32,000
Cash and bank balances		
- Bank deposits	293,000	273,200
- Cash in restaurants and bakery shops	7,000	6,800
Other assets	15,000	13,000
Accounts payables	16,000	15,000
Accruals and other payables	85,000	80,000
Advanced receipts from voucher sales	13,000	6,000
Other liabilities	22,000	21,000
Number of stores		
(i) Restaurants	100	98
(ii) Bakery shops	106	105

Question 1 (8 marks – approximately 14 minutes)

Explain the procedures that DEF & Co should carry out prior to accepting the auditor nomination from Delicacies Limited.

(8 marks)

Question 2 (11 marks – approximately 20 minutes)

(a) Analyse and explain the fraud risk of material misstatements in terms of management override of controls.

(4 marks)

(b) Propose relevant audit procedures in response to the risk of material misstatements identified in Question 2(a).

(7 marks)

Question 3 (22 marks – approximately 40 minutes)

(a) Relating to food and beverage sales in restaurants and bakery shops, evaluate the risk of material misstatements relating to revenue recognition of food and beverage sales.

(9 marks)

(b) Relating to festive product sales and related voucher management,

(i) propose six relevant control activities over the voucher management of Delicacies Limited.

(6 marks)

(ii) propose relevant audit procedures in response to the risk of material misstatements relating to revenue recognition of festive product sales.

(7 marks)

Question 4 (9 marks – approximately 16 minutes)

Assume you are the audit partner of DEF & Co, and you decide not to review the prior year's audit work papers of the predecessor auditor relating to ABC & Co's audit for the year ended 31 December 2017. In relation to the following opening balances:

- Property, plant and equipment
- Inventories
- Cash and bank balances

(a) Explain whether you plan to perform any audit procedures relating to each of these opening balances.

(3 marks)

(b) Propose relevant substantive audit procedures in relation to the opening balances of property, plant and equipment.

(6 marks)

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End of Section A

SECTION B – ESSAY / SHORT QUESTIONS (Total 50 marks)

Answer ALL of the following questions. Marks will be awarded for logical argumentation and appropriate presentation of the answers.

Question 5 (12 marks – approximately 22 minutes)

Happy Ltd is a private company which was incorporated in Hong Kong. Chan & Co has been its auditor since its incorporation. In addition to audit services, Chan & Co also provides book-keeping services to Happy Ltd for the preparation of accounting records and financial statements. Recently, Happy Ltd was acquired by Smile Ltd which is a Hong Kong listed company. After the acquisition, Happy Ltd became a significant subsidiary of Smile Ltd. Chan & Co continues to provide the audit and the non-audit services to Happy Ltd. Chan & Co is also required to report its audit clearance to the auditor of Smile Ltd.

Required:

- (a) Analyse and explain the independence of Chan & Co before and after the acquisition of Happy Ltd by Smile Ltd.
(6 marks)
- (b) Propose possible safeguards before and after the acquisition of Happy Ltd by Smile Ltd for Chan & Co to mitigate its independence threats as identified in Question 5(a) above.
(3 marks)
- (c) After the completion of the current year audit, the audit partner in charge of Happy Ltd retired from Chan & Co. The retired audit partner in charge of Happy Ltd is approached by Smile Ltd to act as its independent director.

With reference to the relevant *Code of Ethics for Professional Accountants*, analyse and explain the independence of the employment of the retired audit partner as the independent director of Smile Ltd.

(3 marks)

Question 6 (15 marks – approximately 26 minutes)

Strawberry Ltd is engaged in the sales of strawberries. You are the auditor of Strawberry Ltd. During the year, the town experienced a super typhoon which caused most of the roads to be blocked. As adjacent roads were blocked, access to the whole farm of Strawberry Ltd was restricted. In the farm, there were strawberries and some fixed assets mainly comprising greenhouses. When preparing the current year financial statements, the management of Strawberry Ltd has written off all the strawberries as they are perishable goods, and charged it to profit and loss. Regarding the greenhouses, management considered that the greenhouses are made by strong materials which were not easily damaged. Accordingly, no impairment loss was provided against these greenhouses. The carrying value of the greenhouses amounted to HK\$3 million which represented 90% of the total assets of Strawberry Ltd. During the year, Strawberry Ltd recorded a profit amounting to HK\$1 million. Strawberry Ltd has solid financial support from its shareholders therefore is aware of no significant threats to its going concern.

Required:

- (a) Consider if the management's impairment assessment on its greenhouses is supported by sufficient appropriate audit evidence. Explain your answers. (5 marks)
- (b) Based on your evaluation in Question 6(a), determine what type of auditor's opinion should be made. Provide your answer with explanations.

Note: A full auditor's report is not required to be presented.

(5 marks)

- (c) In the next (second) financial year, the access restriction to the farm was released. The management of Strawberry Ltd therefore performed a detailed evaluation and identified a cumulative loss of HK\$1.5 million for the second year end date. Management recognised the whole amount of impairment loss to the second year's profit and loss.

Assuming the cumulative loss of HK\$1.5 million is correctly measured, explain the auditor's considerations when forming an opinion on the second year financial statements of Strawberry Ltd.

(5 marks)

Question 7 (12 marks – approximately 22 minutes)

Paco Ltd maintains a computerised payroll system which is responsible for calculating the monthly payroll and transferring the monthly payroll to its employees' personal bank accounts via auto-pay. All the procedures are automated and processed by this computerised system. The payroll system is integrated with the general ledger financial reporting system and the monthly payroll is posted to the payroll account each month.

Required:

- (a) Advise system application controls to ensure payroll is correctly calculated, payments are made and payroll is properly recorded in the accounting records.
(4 marks)
- (b) In addition to system application controls, advise review controls that could be implemented in the payroll process.
(3 marks)
- (c) Explain which type(s) of information technology general controls over the payroll computerised system could prevent staff from transferring fake payroll to their personal bank account. Propose audit procedures to test these controls.
(5 marks)

Question 8 (11 marks – approximately 20 minutes)

Ho Mei Seafood Limited (“Ho Mei”) is a Hong Kong listed company which operates various restaurants in Sai Kung and Aberdeen. During the year, an operation manager proposed Ho Mei enter into a purchase contract with a new supplier, SunSin Company (“SunSin”), for the supply of seafood. The operation manager noted to the directors that Ho Mei can get a competitive price with bulk purchase from SunSin. Under the new contract, Ho Mei is committed to a minimum purchase which amounts to HK\$2 million per year that represents approximately 90% of its total purchase.

Required:

- (a) Regarding the proposed seafood purchase contract with SunSin, advise what considerations that Ho Mei’s board of directors should make.

(6 marks)

- (b) Subsequent to Ho Mei’s entering into the purchase contract with SunSin, one of Ho Mei’s directors received an anonymous email alleging that SunSin is a company ultimately controlled by the operation manager though no legal shareholding evidence could be obtained.

Advise possible actions that the directors should take to respond to this allegation.

(5 marks)

* * * END OF EXAMINATION PAPER * * *